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Biases in Indonesian Stock Investor Behavior

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ABSTRACT

Research Aims: to explore behavioral biases of stock investors in their decision making and find which bias is the most often experienced by Indonesian investors. Investor behavior plays an important role in making investment decisions in the capital market. The less the biases, the better the decision.

Design/methodology/approach: Using a qualitative approach, semi-structure interview was conducted with 5 Indonesian investors. All five participants are Indonesian and aged between 34-69 years old. The interviews begin with some general questions and are followed by addressing more questions arising from the previous discussion. The transcriptions of interviews from respondents use the verbatim approach.

Research Findings: Several biases that we have found are herding, loss aversion, disposition effect, anchoring and availability biases. From those 5 behavioral biases from the results of the interviews, herding is the one that happens more often. This study suggests that herding is note-worthy, that is, this bias needs to be explored more deeply. This research also found that better educational background and knowledge can reduce biases in decision making.

Theoretical Contribution/Originality: This research used a qualitative approach to explore investor bias in Indonesia.

Keywords: Investor bias, herding, risk aversion, disposition effect, anchoring and availability

Introduction

The behavior of investors in the capital market greatly influences the movement of stock prices in the stock market. The stock market in Indonesia is very volatile because of information or cases that occur in the world that affect Indonesia stock indices because of investor decisions. The COVID-19 pandemic in 2020, the Energy Crisis in 2021 and the war between Russia and Ukraine triggered the increase of oil and coal prices [1]. The fluctuating ups and downs of stock prices are also different for each industry or sector, for example: The COVID-19 pandemic has badly affected share prices in the property, consumer goods sectors, but on the other hand has a positive effect on the technology sector [2]. Russian War has an impact on the food-beverage and energy sectors [3]. The aforementioned affect the behavior of investors and consequently the decision of investors to buy or sell shares. In the end, the movement of stock prices in Indonesia is affected as well.

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According to data from the Financial Services Authority, the comparison of the inclusion rate of 85.10% in Indonesia is still far from the literacy rate of 49.68%[4]. The Financial Services Authority (OJK) is aware of the important role of the media in increasing financial literacy and education, so a meeting was held with the chief editors of mass media [5]. Behavioral biases of investors appear because of their limited education and experience. Psychologists find that investment decisions are influenced by psychological and emotional factors [6]. Psychological and sociological factors dominate the economic factors in the investment decision-making process [7].

Assuming that investors react instantaneously to changes due to information, the Efficient Market Hypothesis suggests that all prices of securities —including stocks— will automatically adjust to the changes. However, such is not necessarily the case because the pattern of investor behavior greatly influences such an assumption [8] [9]. There is a gap in the concept of Efficient Market Hypothesis with Behavioral Finance [10].

Behavioral Finance is a new approach that has emerged to overcome the traditional financial paradigm and help understand financial phenomena where some of the parties involved are not fully rational. Behavioral Finance suggests that in an economy where rational and irrational investors interact, irrationality can have a substantial and lasting impact on prices. While irrational investors are often referred to as "noise traders", rational investors are usually referred to as "arbitrageurs" [11]. There are 2 types of investors, the first is the "perfectly rational" investor, who does not exist, and the second is the "quasi-rational" investor, who tries to be rational but is still influenced by various behavioral biases [10]. Behavioral bias causes irrationality in investment decision making which results in very large losses [12].

There are a lot of investors in Indonesia who are not financially literate but there are still very few researchers who examine the biases of investor behavior, especially using qualitative methods. Most Behavioral Finance studies focus on developed countries so it is very limited in developing countries. The majority of Behavioral Finance literature analyzes individual investors in developed countries [13], [14]. Therefore, this study aims to examine the behavioral biases of Indonesian stock investors in investment decisions. Most previous research has examined investor behavior by employing quantitative methods. We, however, employ a qualitative approach to conduct our study. This study helps investors to identify behavioral biases that affect investment decisions so that they can be more rational in investing and get the benefits of investing in the right company and growing with the company.

Literature Review

Behavioral Finance

Thaler (1999) [15] suggests that there are many unresolved puzzles in the financial market, for which modern financial theory provides no answers. However, the assumptions of behavioral finance are, in fact, helpful in solving the puzzles. Behavioral

Finance is a new discipline that integrates behavioral theory and psychology with conventional finance and economics. Behavioral Finance identifies the causes of various market anomalies and points out the human errors causing the anomalies [16]. Investors may act irrationally, making less than optimal decisions. Such decisions, in turn, have an impact on capital market efficiency and personal wealth [17]. Behavioral Finance emphasizes the behavior of investors and recognizes how the psychological factors will, in the end, affect stock prices [18].

Behavioral portfolio theory (BPT) emphasizes the role of preference behavior in portfolio selection and investor investment. The main implication of BPT is that investors whose goals involve high aspirations act as if they have a high tolerance for risk, implying that investors who set high levels of aspiration in combination with the high probability associated with reaching that level will tend to choose risky portfolios. [19].

Behavioral Biases

Behavioral bias plays a significant role in investment decision behavior [20]. Tversky & Kahneman (1974) [21] wrote the paper "Judgement under Uncertainty: Heuristics and Biases", which provides insight into three types of bias, namely, representativeness, availability and anchoring. The smallest mistakes of investors can lead to high volatility in financial markets, and thus cannot be ignored. This ignorance is the main reason for the crashes and bubbles that occur in the stock market. Therefore, it is very important to know behavioral biases before investing in the stock market [10].

Previous research includes:

Herding bias [22], [25], Loss Aversion, Disposition Effect [26], [27], Overconfidence bias [28], [32], Anchoring bias [13], [33], [34], Representativeness bias [28], [29], [35], Cognitive dissonance bias [36], [37], Availability bias [29], [36], [38], [39], Self-attribution bias [30], Illusion of Control Bias [37], Conservatism Bias [26], [28], [36], [38], Ambiguity Aversion Bias [26], [36], Endowment Bias [12], [36], [40], Self-Control Bias [37], Optimism Bias [28], [37], Mental Accounting Bias [36], [41], Confirmation Bias [36], [37], Hindsight Bias [35], [40], Loss Aversion Bias [28], [42], Recency Bias, Regret Aversion Bias, Framing Bias [37], Status Quo Bias [12], [36], [40], [41], [43], [44]

Herding Bias or Herding behavior is a tendency of investors to follow the decisions of other investors [27]. Investor behavior in making decisions is influenced by the decisions of financial agents [45]. In situations where one is unable to decide and take any action, one is motivated and moved by the actions of others [26].

Loss aversion is a condition where investors are unwilling to realize a loss and hold invested securities with the hope that prices in the future will recover, so they can avoid losses. People react differently to a definite loss and a definite profit. When faced with definite profit, they will be averse to any risk, while if there is a possibility of loss, they will take any risk [26], [27]. This is in line with the Prospect theory by Kahneman & Tversky (1979) [46].

Disposition Effect is a phenomenon in which investors tend to realize profit as soon as possible while being reluctant to realize the loss. Investors tend to sell stocks early to realize profits and they tend to hold the loss for a long time [26], [27]. Anchoring means the investors make their judgments based on the initial information they have received and then base their subsequent decisions on it. The successive decisions are anchored around some previous information. This bias is introduced by Kahneman and Tversky [27]. Availability is a tendency to dramatize problems and to underlie considerations on information that has been available or owned. Investors tend to invest in stocks, that they can obtain information easily [12].

Method

The respondents in this study are investors who have been involved in stock investment in the Indonesia Stock Exchange and they do the transaction on their own. Participants are selected using a non-probability sampling technique. All five participants are Indonesian stock investors, with a minimum bachelor's degree, a minimum 1-year experience investing in stock and aged more than 30 years old. We use semi–structured interview techniques to collect the data. The interviews begin with some general questions and are followed by addressing more questions arising from the previous discussion. The transcriptions of interviews from respondents use the verbatim approach.

Result and Discussion

Profile of the respondents

Table 1. Respondent Profile

Name (Initial)	FM	FN	FY	KW	RD
Gender	Male	Female	Female	Male	Female
Age	40	42	34	46	69
Marital Status	Married with two kids	Married with one kid	Single	Married with one kid	Widow
Level of Education	Bachelor	Bachelor	Bachelor	Master	Bachelor
Job	Employee	Employee	Teacher	Employee	Employee
Securities	Panin	Ekokapital	Panin	Valbury	Ekokapital Panin
Types of Investment	Stock Bonds Gold	Stock Bonds Gold Property	Stock Bonds Gold Mutual Funds	Stock Bonds	Stock Bonds Gold Property

Experience as a Stock Investor	2 years	15 years	11 years	3 years	37 years

All respondents consider that the stock market in Indonesia is stable and promising enough for investors. Even though there was a sharp decline in March 2020 because of the pandemic covid-19, the market index (IHSG) recovered quite fast. Most of those who invest in the stock market are to get the capital gain, although some are to get the dividend. Three out of five respondents are value investors, who are rarely trading but keep the stock for long-term investment. All the investors are risk-averse or indifferent but nobody is a risk taker. They get information from various websites like CNBC, Investor Daily, IDX channel, and bisnis.com. Only KW understands how to read the financial statements and also interprets the financial ratio, but the rest have a minimum understanding of investment knowledge.

Behavioral Biases

Herding

Several studies collected from 59 studies in 11 journals show that very limited research has been conducted on the existence and impact of herding bias in capital markets worldwide [47]. Herding behavior is common among investors in emerging markets and mostly occurs during situations of market stress. The dominant investor behavior in the Indonesian capital market, especially in making investment decisions, is herding behavior [25]. Luu and Luong [48] found that herding has a greater impact. Arisanti and Asri [49] state that herding behavior in the Indonesian capital market is dominated by investors from six sectors, namely agriculture, infrastructure, transportation, finance, mining, and property. A different opinion is expressed by Agarwal, Chiu, Liu, and Rhee [50], saying that the symptoms of herding behavior are not found in the Indonesian capital market because there are no extreme stock price movements or the absence of an extension of the market pressure situation regarding investor psychology in emerging markets.

Herding bias experienced by all the participants:

FM : “I wouldn’t buy it first. I read it first on the IDX channel. I asked my closest friends or my family, who were already in the stock market. First I asked what was the best. I bought it. So I rely more on reading from Google and discuss with my colleagues”

FN : “I buy the stock, which is recommended by a friend”

FY : “Whatever shares Lo Kheng Hong holds, I follow, or I follow the recommendation of my family”

KW : “Some stocks with cheap PER and PBV, I buy. There are also stocks that I buy because I follow others. Like UNVR, I buy it because my family bought it, even though I knew the PBV was quite high.”

RD : “I usually invest in a blue chip but also follow the discussion in the community. For example “when coal is booming, I will buy it”

Loss aversion

Prospect theory argues that people exhibit aversion to loss, meaning that they are more sensitive to loss than gain when it comes to making decisions under risks. This theory represents the main paradigm in the field of decision making under uncertainties. Prospect theory suggests that individuals exhibit variables in risk preferences within different contexts. Investors tend to avoid risk when the stock is already profitable or dare to take risks when the stock is still losing. Most investors overweight their loss aversion and generally have a fear of loss [46]. Loss aversion behavior is most commonly seen in developing countries. However, in developed countries, investors cannot avoid loss aversion behavior because profitable investment is the dream of every investor [51].

FM : “During the early pandemic period, stocks in the health industry, like KLBF, KAEF rise significantly and it is said to be higher and higher. I was trapped. I bought KLBF at a high price, so every time the price goes down I have to average down. I wait until the price goes up until the buying price. I do not want to suffer loss anyway. The important thing is to be able to return my capital, without gain is okay.

Disposition effect

The disposition effect is the tendency of investors to refrain from realized losses in the hope of making profits later. Researchers have noticed the tendency of investors to hold losing stocks in the long term and sell profitable stocks too early. It is the so-called disposition effect. This can be detrimental to individual investors because losing stocks usually carry poor performance, while good/profitable stocks usually continue to perform better [52].

FM : “But for sure I hold, I will never cut loss.”

FY : “I am not the type who panics and then cuts losses, as long as I don't need the money urgently, I won't sell anyway. Yes, I will not cut loss, until I make a profit from the stock”

RD : “I am happy if I can buy and sell but I honestly will never sell at a loss.”

Anchoring

[21] defines “anchoring bias” as a situation in which the known previous value of a variable is considered as a reference for the estimation future value of the same variable.

FM : “In my opinion, the price is already too high anyway, because the price of the previous years was not that high. So I always refer to the previous price of the stock.”

FN : “I'm more likely to see the price history chart”

FY : "The time I bought AALI, I just looked at the RTI chart, and it seems that it is still rather cheap, so I bought it. Maybe after the pandemic is over, the price will go up"

Availability

The relationship between availability and investment behavior is still included in the current literature [29]. Khan's [53] research has reflected a positive relationship between the availability heuristic and investment behavior, i.e., increased decision making due to availability bias. In contrast, other studies have shown a negative effect of availability bias on decision making [54].

FM : "Before buying stocks, I see the information of the company: It means from the first time it was established, who owns it. So I read first, I open Google, I read, I want to know who owns the stock, and what business they are in and when the IPO is."

FN : " I choose the stock of the company that I have heard before."

FY : "At that time there was news, I read China needs palm oil, so the price of Crude Palm Oil (CPO) will rise so it's good to buy stocks of CPO companies."

RD : "Well my loss is mostly in the Bakrie group's stocks. At the time when Bakrie was an official, his companies were good, the prices were high. So I bought all of his companies' stocks."

Conclusion

Investor behavior plays an important role in making investment decisions in the capital market because an appropriate investment decision is not only based on mere fundamental factors as rational aspects but is also influenced by psychological factors, for example, investor behavior which is an irrational aspect of stock trading. The results of the study highlight that investors IDX work with several behavioral biases. We find 5 behavioral biases from the results of the interviews and as we can see herding is the one that happens more often. This study suggests that there are irrationalities in decision-making about investments that usually differ between different investors.

We can see that better educational background and knowledge can reduce the biases in decision making, for example, respondent with initial KW. Even though, he has been an investor for only 3 years his knowledge and experience in decision making are better than those of other respondents. He is only influenced by one out of five biases. The practical implications for the investor are suggested to increase their financial literacy and education to make better decision making. The government can cooperate with financial institutions to increase public financial literacy by educating society through financial education and training.

This study provides theoretical implications that psychological understanding of investors will reduce the deviation of investors' irrational behavior in the capital market. Investment practice and theory must be integrated in investment decision making. This research uses only a qualitative method with an interview technique to explore investor biases. Further research can use mixed methods (quantitative and qualitative) to explore more about these biases and use them to predict investment decisions or investment returns or correlate financial literacy with behavioral biases.

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